

THE SESSION • POST-CLOSE READ

The Prints *Answered*

Brent settled above \$100 and megacap capital-spending guidance drew fresh scrutiny, but raised full-year outlooks at Lockheed Martin and Quest Diagnostics carried the Dividend Strategy to +0.47% against a broad market decline.

S&P 500 ▼ **1.20%**NASDAQ ▼ **2.15%**DOW ▼ **0.97%**VIX **18.86**BRENT ▲ **\$101**

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+0.47%

1-DAY

YTD **+17.68%** vs DVY +15.79% • SPY +8.81%

GROWTH PORTFOLIO

▲ BEAT IUSG

-0.66%

1-DAY

YTD **+16.93%** vs IUSG +9.17%

THE SESSION

Two businesses we own reported before the bell this morning, and both of them raised the year. Lockheed Martin posted second-quarter sales of \$20.1 billion, up 11% from a year ago, with earnings of \$7.94 per share against a \$7.23 consensus and free cash flow of \$2.9 billion — then lifted its full-year sales outlook to roughly \$79.75–\$81.75 billion on what the company describes as a record \$230 billion backlog. Quest Diagnostics grew revenue 10.2% to \$3.04 billion, delivered adjusted earnings of \$3.12 against \$2.82 expected, and raised full-year guidance on both the top and bottom lines. The market paid for both: **LMT** +10.37%, **DGX** +8.60%. On a session when the S&P 500 fell 1.20% and the Nasdaq 2.15%, the Dividend Strategy closed +0.47% — ahead of DVY at -0.71% and SPY at -1.26%.

The index had its own reasons, and none of them originated inside our companies. Brent crude settled near \$100.69, up about 7% in a fifth consecutive advance, after reported attacks on tankers off the Red Sea coast of Saudi Arabia. Higher energy prices carried the 10-year Treasury yield to 4.705%, its highest level since January 2025, and fed-funds futures moved to roughly an 82% probability of a September hike, up from 52% a week earlier. Weekly jobless claims of 187,000 against 212,000 expected gave the rate market nothing to work with in the other direction. Layered on top, Alphabet's raised capital-spending guidance and Tesla's margin compression reopened the question of when the AI build-out converts into returns — a question that was asked loudly of the businesses doing the spending, and answered quietly in favor of the businesses receiving it.

Guidance raised is the ownership event. Everything else on the tape today was weather.

That distinction ran straight through the Growth Portfolio, which closed -0.66% against IUSG at -1.63%. The contracted-compute cohort took the capital-spending news as revenue rather than risk: **HUT** +7.11%, **CRDO** +3.61% and **MARA** +2.90% advanced while merchant silicon gave back, with **AMD** -2.29% and **NVDA** -1.56%. Energy and

power carried the rest — **OKE** +1.61%, **VST** +1.34%, **CVX** +0.75%. The offsets were rate-sensitive and high-beta: **NOW** -3.69% extended its de-rating a day after its own print, and **HOOD** -2.78%, **SOFI** -2.46% and **TOL** -1.63% all traded the yield move. The digital-asset sleeve eased with bitcoin at \$64,847: **IBIT** -1.85% and **ETHA**

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

LMT +10.37% DIVIDEND

Second-quarter sales of \$20.1 billion, up 11%, with earnings of \$7.94 per share against \$7.23 expected and \$2.9 billion of free cash flow. Full-year sales outlook raised.

DGX +8.60% DIVIDEND

Revenue up 10.2% to \$3.04 billion, adjusted earnings of \$3.12 versus \$2.82 expected, and full-year revenue and EPS guidance both lifted.

HUT +7.11% GROWTH

Contracted AI compute capacity continued to re-rate the name; the neocloud cohort read hyperscaler capital spending as booked revenue.

CRDO +3.61% GROWTH

Connectivity silicon treated as a beneficiary of the raised capital-spending guidance rather than a casualty of it.

DECLINERS

NOW -3.69% GROWTH

Extended its de-rating a day after reporting; the market continues to price agentic AI as a threat to enterprise software seats rather than an expansion of them.

HOOD -2.78% GROWTH

High-beta financials sold with the rate move as the 10-year reached 4.705%.

QCOM -2.57% DIVIDEND

Traded with a semiconductor complex reassessing the timing of returns on AI capital.

SOFI -2.46% GROWTH

Consumer lending pressured by the move higher in yields and the implied path for policy.

SYK +3.15% DIVIDEND

Medical technology bid as capital rotated toward defensive earnings streams. The company reports second-quarter results on July 30.

MARA +2.90% GROWTH

Advanced with the wider compute complex even as bitcoin eased to \$64,847.

GD +2.31% DIVIDEND

Carried by a defense tape that firmed after Lockheed Martin and RTX both raised full-year outlooks on munitions replenishment demand.

OKE +1.61% GROWTH

Midstream demand firmed alongside Brent settling above \$100 on Red Sea supply risk.

AMD -2.29% GROWTH

Merchant silicon gave back as investors scrutinized the return profile of hyperscaler spending.

FCX -2.26% GROWTH

Adjusted earnings of \$0.74 on revenue of \$7.03 billion topped estimates, but a softer near-term copper outlook drew the reaction.

SPGI -2.11% DIVIDEND

Eased ahead of its own quarterly report as rate-sensitive financials lagged the tape.

TOL -1.63% GROWTH

Homebuilding tracked mortgage rates, which followed the 10-year to its highest level since January 2025.

HOLDINGS NEWS

Freeport-McMoRan delivered on Grasberg, and the tape looked past it. Second-quarter adjusted earnings of \$0.74 per share on revenue of \$7.03 billion and \$2.0 billion of operating cash flow, with Jefferies noting EBITDA roughly 12% above consensus. Management reported the Grasberg Block Cave ramp on schedule — near 65% of capacity in the second half of 2026, approximately 80% by mid-2027 and approaching full capacity by the end of 2027. Shares eased -2.26% on the softer near-term copper outlook. We own the 2028 volumes; the July quotation is not the asset.

Old Republic wrote a more expensive quarter, and said so plainly. Net income of \$322.3 million against \$204.4 million a year ago, though operating income of \$0.76 per share came in under the \$0.79 consensus and the consolidated combined ratio widened to 95.3% from 93.6%. Net premiums and fees earned approached \$2.1 billion and net investment income rose to \$182.0 million. Declining to chase price in a softening underwriting market is exactly the trade-off we want this management team making. **ORI** closed -0.67%.

DIVIDEND STRATEGY

+17.68%

vs DVY +15.79% / SPY +8.81%

GROWTH PORTFOLIO

+16.93%

vs IUSG +9.17%